VAT position — calendar year 2025

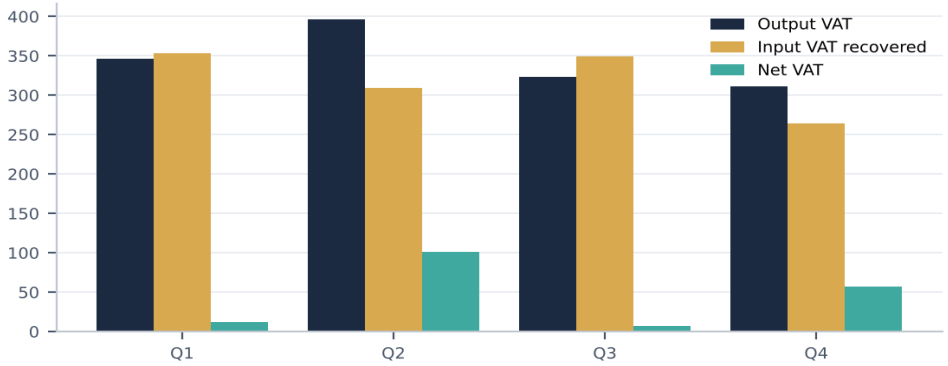
Meridian Gulf Trading LLC (illustrative) · four quarterly VAT 201 returns · AED · prepared from UAE_VAT_Calculation_Reconciliation.xlsx

TOTAL SALES	OUTPUT VAT	INPUT VAT RECOVERED	NET VAT PAYABLE	EFFECTIVE VAT RATE	EXCEPTIONS
AED 36.28M	**AED 1.45M**	**AED 1.28M**	**AED 178K**	**3.80%**	**50 docs**
17.7% zero-rated exports	incl. reverse charge	97.0% recovery rate	FY2025 · payable to FTA	output VAT ÷ total sales	VAT at risk AED 94K

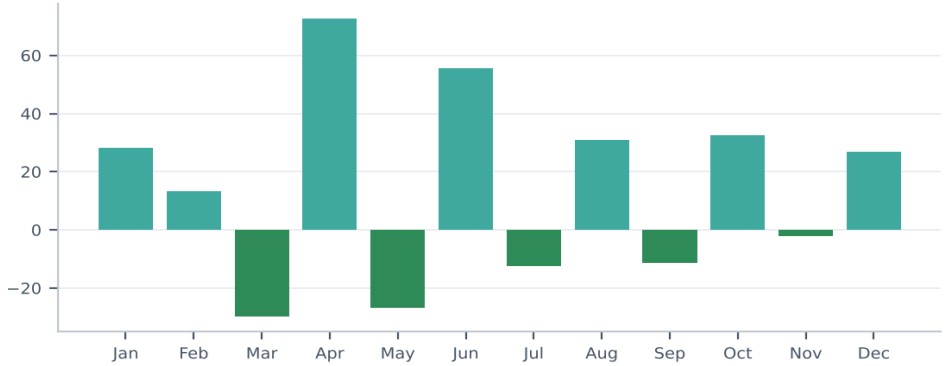
Key messages

- Selected period FY2025: total sales AED 36.28M, of which 17.7% are zero-rated exports; output VAT AED 1.38M against recoverable input VAT AED 1.28M.
- Net VAT position is AED 178K payable to the FTA; effective VAT rate on sales 3.80%.
- Largest quarterly payment: Q2 (AED 102K); lowest: Q3 (AED 7K).
- Control leakage: AED 40K of input VAT (3.0% of VAT incurred) was not recoverable; 50 documents carry compliance exceptions (see Exceptions).

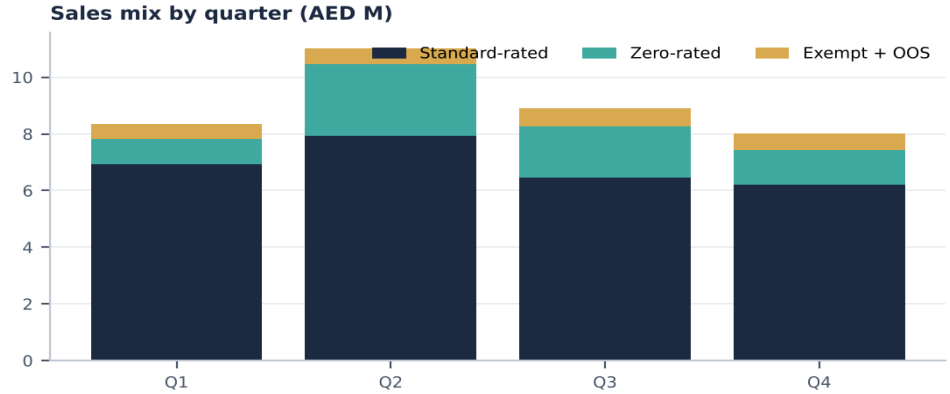
Output vs input vs net VAT by quarter (AED K)

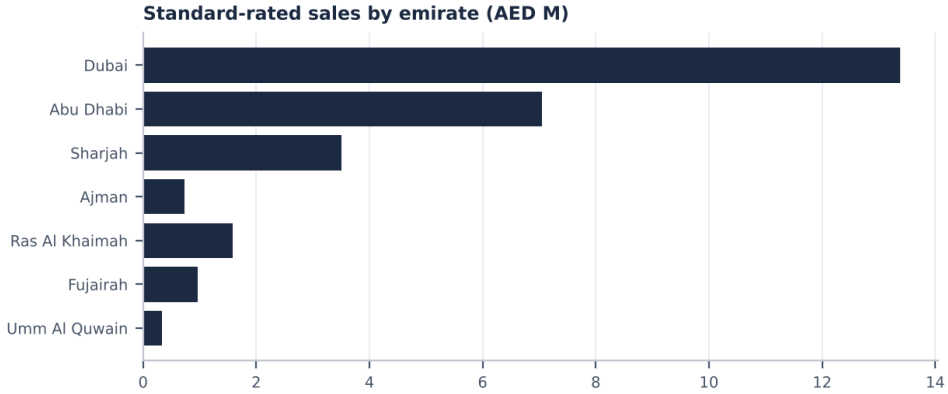


Net VAT payable by month (AED K)



Mix, geography and exceptions





Compliance exceptions

Exception type	Q1	Q2	Q3	Q4	Docs	Net value	VAT at risk
Invalid / missing TRN	1	1	1	0	3	AED 201K	AED 10K
Blocked input	7	3	4	3	17	AED 595K	AED 30K
Late posting (>30d)	11	7	6	6	30	AED 1.36M	AED 55K
Total	19	11	11	9	50	AED 2.15M	AED 94K

VAT 201 return — full year 2025

Box	Description	Amount (AED)	VAT (AED)
1a	Standard-rated supplies — Abu Dhabi	7,049,646	352,482
1b	Standard-rated supplies — Dubai	13,379,603	668,980
1c	Standard-rated supplies — Sharjah	3,507,188	175,359
1d	Standard-rated supplies — Ajman	736,459	36,823
1e	Standard-rated supplies — Umm Al Quwain	327,553	16,378
1f	Standard-rated supplies — Ras Al Khaimah	1,581,290	79,064
1g	Standard-rated supplies — Fujairah	960,812	48,041
2	Tax refunds provided to tourists	0	0
3	Supplies subject to reverse charge provisions	1,537,559	76,878
4	Zero-rated supplies	6,427,195	0
5	Exempt supplies	1,294,118	0
6	Goods imported into the UAE	0	0
7	Adjustments to goods imported	0	0
8	TOTALS (boxes 1–7)	36,801,422	1,454,006
9	Standard-rated expenses (incl. capital assets; excl. blocked / no TRN)	23,986,823	1,199,341
10	Supplies subject to reverse charge provisions	1,537,559	76,878
11	TOTALS (boxes 9–10)	25,524,381	1,276,219
12	Total due tax for the period		1,454,006
13	Total recoverable tax for the period		1,276,219
14	**PAYABLE TAX / (REFUNDABLE) for the period**		**177,786**

Risks, reconciliation and actions

Principal risks

- 50 documents (4.0% of 1250) carry exceptions; blocked entertainment input VAT and invalid TRNs cost AED 40K of unrecoverable input VAT.
- Late posting (> 30 days) affects 30 documents — tax-point and return-period penalty exposure.
- Zero-rated exports are 18% of sales; evidence of export (customs/transport proof) must be retained for FTA audit.
- Turnover reconciliation unexplained difference is 0.07% of GL revenue — within tolerance.

Turnover reconciliation	AED
Total supplies per VAT returns	36,275,033
Revenue per general ledger / financial statements	36,423,761
Credit notes issued after period-end (timing)	76,178
FX revaluation on foreign-currency invoices	47,158
UNEXPLAINED DIFFERENCE	25,392
Unexplained % of GL revenue	0.07% (tolerance 0.15%)

Recommended actions

- Block payment of supplier invoices without a valid TRN; add a TRN validity check at vendor creation.
- Re-code client-entertainment spend to a non-recoverable GL account at source.
- Close the VAT sub-ledger by working day 5 each month; lock tax points to the correct return period.
- Reconcile VAT returns to the GL quarterly before filing; keep the sign-off with this pack.

Model integrity

ALL CHECKS PASS — 9 checks incl. VAT 201 box 14 = Exec net VAT, monthly = quarterly totals, exceptions sum, and turnover reconciliation within tolerance. Change the period on **Exec_Summary!C4** to reproduce any quarter.